

Q1. Which of the following statements regarding indexes for alternative investments is most accurate?

- A. Hedge funds determine whether their results will be included in an index.
- B. Commodity indexes consist of a market-weighted basket of one or more specific commodities
- C. Commodity index returns are based on changes in the prices of the underlying commodities

Q2. Which of the following transactions poses the risk of losing the greatest dollar amount?

- A. Selling a put with a strike price of \$15 for \$0.90
- B. Buying a call with a strike price of \$15 for \$11.25
- C. Buying a put with a strike price of \$37.50 for \$12.75

Q3. When the forward price of a commodity exceeds the spot price, the commodity market is most likely in:

- A. carry.
- B. contango.
- C. backwardation.

Q4. Which of the following risk metrics is best used to estimate extreme losses?

- A. Rho
- B. Delta
- C. Conditional VaR

Q5. With respect to fintech applications, the instantaneous transfer of collateral in the event of default is an example of:

- A. tokenization.
- B. smart contracts.
- C. high-frequency trading.

Q6. Which of the following is an example of an event-driven hedge fund strategy?

- A. Buying the stock of a company that is spinning off a subsidiary
- B. Selling stock options to earn premiums and benefit from limited market movements
- C. Taking long positions in undervalued stocks and short positions in overvalued stocks

Q7. Which of the following valuation models does not require the estimation of required rate of return on a share?

- A. A price multiple model
- B. The Gordon growth model
- C. A free-cash-flow-to-equity model

Q8. In derivatives pricing:

- A. investors are assumed to be risk averse.
- B. a portfolio consisting of the underlying and the derivative must earn the risk-free rate.
- C. expected payoffs of the derivative are discounted at the risk-free rate plus a risk premium.

Q9. With respect to interest rate changes, if an investor's investment time horizon is longer than the time-to-maturity of a bond, coupon reinvestment risk is:

- A. less important than market risk.
- B. is equally as important as market risk.
- C. more important than market risk.

Q10. The duration statistic that best measures the interest rate risk of a bond that does not have a well-defined internal rate of return is:

- A. effective duration.
- B. modified duration.
- C. Macaulay duration.

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An analyst forecasts different outcomes for a company next year:

	Bear Case	Base Case	Bull Case
Sales (In € millions)	280	350	400
EBITDA margin (%)	10	18	25
Debt to capital (%)	75	60	55

Q11. This forecast table is best described as a:

- A. scenario analysis.
- B. sensitivity analysis.
- C. point estimate forecast.

Q12. Which of the following statements concerning financial regulatory bodies is least accurate? Financial regulatory bodies:

- A. act to level the playing field for market participants.
- B. define minimum standards of competence for agents.
- C. require that regulated firms maintain optimum levels of capital.

Q13. According to the size effect anomaly:

- A. equities with low P/Es tend to outperform equities with high P/Es.
- B. equities with above-average dividend yields tend to outperform equities with below-average dividend yields.
- C. equities of small-cap companies tend to outperform equities of large-cap companies on a risk adjusted basis.

Q14. Which of the following is most likely a consequence of the overconfidence bias? An investor who:

- A. overestimates downside risks
- B. underestimates expected returns
- C. holds a poorly diversified portfolio

Q15. Which of the following statements is least accurate concerning differences in the pricing of forwards and futures?

- A. Interest rate volatility can explain pricing differences.
- B. Pricing differences can arise if futures prices and interest rates are uncorrelated.
- C. Differences in the pattern of cash flows of forwards and futures can explain pricing differences.

Q16. Which of the following sections of the IPS most likely explains how to respond to various contingencies?

- A. Procedures
- B. Investment guidelines
- C. Evaluation and review

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The data for two stocks in an index are as follows:

Stock	Shares Outstanding	Percent of Shares in Market Float	Beginning of Period Price (\$)	End of Period Price (\$)	Dividends per Share (\$)
A	5,000	90	40	45	1.00
B	2,000	100	68	60	0.50

Q17. Assuming the beginning value of the float-adjusted market-capitalization-weighted equity index is 100, the ending value is closest to:

- A. 102.06.
- B. 102.68.
- C. 103.80.

Q18. An assumption of the CAPM is that:

- A. markets are frictionless.
- B. investors are risk-neutral.
- C. an investor's trades affect prices.

Q19. Which of the following factors is most appropriate to consider when determining a company's risk tolerance?

- A. The company's positioning within its industry
- B. The beliefs of the company's board members
- C. The short-term stability of the market environment

Q20. Which of the following contingency provisions in a bond most likely benefits the issuer?

- A. Put provision
- B. Call provision
- C. Conversion to common shares

Q21. Debtor-in-possession (DIP) financing refers to financing for firms:

- A. already in bankruptcy.
- B. at the risk of bankruptcy without additional financing.
- C. with strong financial positions and promising growth prospects.

Q22. An investor allocates \$10 million at the beginning of the year to a hedge fund charging a management fee of 2% and an incentive fee of 20% with a 6% hard hurdle rate. At year-end the value of the investment is \$11.8 million. The incentive fee is

calculated net of the management fee and the management fee is based on the year-end value. The net-of-fees return the investor earned is closest to:

- A. 13.24%.
- B. 13.71%.
- C. 13.93%.

Q23. For non-amortizing, non-mortgage asset-backed securities, the lockout period most likely represents when:

- A. investors start receiving repayments.
- B. overcollateralization begins to be reduced.
- C. repaid principal is reinvested in loans of equal principal.

Q24. Which of the following statements regarding rebalancing and reconstitution of an index is most accurate?

- A. Market-capitalization-weighted indexes require frequent rebalancing.
- B. Reconstitution can dramatically affect prices of both current and prospective constituents.
- C. Reconstitution is part of index management that reduces the need for rebalancing.

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An analyst gathers the following information for a portfolio of annual pay bonds:

	Bond A	Bond B	Bond C
Par value	\$16,000,000	\$8,000,000	\$12,000,000
Time to maturity	4 years	7 years	10 years
Coupon	4%	5.5%	6.25%
Yield	4.27%	6.18%	7.2%
Market value	\$15,844,181.24	\$7,698,251.78	\$11,206,662.00
Macaulay duration	3.774	5.973	7.639

Q25. The average (annual) modified duration of the portfolio is closest to:

- A. 5.19.
- B. 5.23.
- C. 5.51.

Q26. Based on put-call parity, a trader can replicate the payoff of a long call by creating a portfolio consisting of a:

- A. long put, a long asset, and a long bond.

- B. long put, a long asset, and a short bond.
- C. short put, a short asset, and a long bond.

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An analyst gathers the following information about US bonds:

Bond	Coupon Rate	Price	Years to Maturity
US government benchmark bond	2.0%	101	2
US corporate bond	5.0%	103	2

Q27. Assuming annual interest payments, the G-spread is closest to:

- A. 149 basis points.
- B. 193 basis points.
- C. 300 basis points.

Q28. Which of the following is most advantageous to the general partner of a private equity fund assuming no clawback provision?

- A. American waterfall
- B. European waterfall
- C. Whole-of-fund waterfall

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An analyst gathers the following data for a 2-year option contract:

Forward price	1.2000 USD/EUR
Strike price	1.2250 USD/EUR
Risk-free rate	5%
Call premium	0.0500 USD/EUR

Q29. The put premium is closest to:

- A. 0.0273 USD/EUR.
- B. 0.0727 USD/EUR.
- C. 0.0750 USD/EUR.

Q30. Which of the following is least likely one of the main benefits of derivative markets? Derivative markets:

- A. reveal prices and volatility of the underlying assets.

- B. exhibit lower volatility compared with the spot market.
- C. enable companies to more easily practice risk management.

Q31. If a stock is purchased on margin where the minimum margin requirement is 35%, the maximum leverage ratio is closest to:

- A. 1.54.
- B. 1.86.
- C. 2.86.

Q32. An investor analyzes the stock market of a specific country and discovers that the stock prices are very slow to reflect new information. The investor can best profit from this situation using a(n):

- A. active fund.
- B. passive fund.
- C. low cost approach.

Q33. The option-free bonds issued by ALS Corp. are currently priced at 108.50. Based on a portfolio manager's valuation model, a 1 bp increase in interest rates will result in the bond price falling to 108.40, whereas a 1 bp decrease in interest rates will result in the bond price rising to 108.59. The price value of a basis point (PVBP) for the bonds is closest to:

- A. 0.088.
- B. 0.095.
- C. 0.190.

Q34. Over-the-counter derivatives markets most likely have a lower degree of:

- A. privacy than exchange-traded derivatives markets.
- B. flexibility than exchange-traded derivatives markets.
- C. transparency than exchange-traded derivatives markets.

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An analyst gathers the following information about a company:

ROA	8%
Leverage ratio	1.2
Dividend payout ratio	35%

Q35. The sustainable growth rate is closest to:

- A. 3.4%.
- B. 5.2%.
- C. 6.2%.

Q36. Which of the following statements about alternative investments' compensation structures is most accurate?

- A. A hurdle rate protects clients from paying twice for the same performance
- B. The management fee for a private equity fund is based on committed capital until fully drawn
- C. The management fee is earned only after the fund achieves a return known as a high-water mark

Q37. Which of the following statements about endowments and foundations is most accurate?

- A. Most endowments and foundations have relatively short time horizons.
- B. Endowments typically allocate a sizable portion of their assets in alternative investments.
- C. Foundations are funds of non-profit institutions that help the institutions provide designated services.

Q38. If the expected return on the market portfolio is 6% and the risk-free rate is 2%, the expected return of a security with a beta of 1.25 is closest to:

- A. 5.00%.
- B. 7.00%.
- C. 9.50%.

Q39. A hedge fund with \$225 million of initial capital charges a management fee of 1% and an incentive fee of 10%. The management fee is based on assets under management at year-end, and the incentive fee is calculated independently from the management fee. Assuming the fund earns a 15% return at year-end, total fees earned by the hedge fund during the year are closest to:

- A. \$5.63 million.
- B. \$5.70 million.
- C. \$5.96 million.

Q40. When incorporating ESG considerations into portfolio implementation and management, client-directed proxy voting is most likely a characteristic of:

- A. thematic investing.

- B. negative screening.
- C. shareholder engagement

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An investor gathers the following information about a company:

Current earnings per share	\$5.00
Current dividend per share	\$3.00
Required rate of return	15.0%
Return on equity (ROE)	17.5%

Q41. Using the dividend discount model, the value of the company's stock is closest to:

- A. \$37.50.
- B. \$40.13.
- C. \$73.67

Q42. Which of the following best describes a feature unique to the co-investing method of investing in alternative assets?

A limited partner:

- A. participating in an investment fund alongside other limited partners.
- B. making an investment alongside a fund in a deal the fund has identified.
- C. participating in an investment fund that invests in deals identified and managed by the general partner.

Q43. With respect to return-generating models for stock returns, the three-factor model of Fama and French includes which of the following factors? Relative:

- A. earnings growth
- B. price-to-sales ratio
- C. book-to-market value

Q44. Which of the following statements about mutual funds is most accurate?

- A. Open-end funds tend to be fully invested without keeping cash.
- B. Closed-end funds can sell for a premium or discount to net asset value.
- C. Investors in a closed-end fund liquidate by selling their shares back to the fund itself.

Q45. Forward rate agreements can be used by firms to:

- A. lock in a fixed borrowing or lending rate at a future date.
- B. pay the return on an equity index and receive a fixed rate.
- C. hedge against exchange rate fluctuations in foreign-currency investments.

Q46. Accrued interest:

- A. depends on a bond's yield-to-maturity.
- B. is equal to a bond's full price minus its flat price.
- C. is typically included in the price quoted by bond dealers.

Q47. A put option has a strike price of \$20.50. The option premium is \$1.00. If the price of the underlying at expiration is \$21.50, the put option is:

- A. in the money.
- B. at the money.
- C. out of the money.

Q48. All else being equal, non-cumulative preference shares most likely:

- A. offer dividends that are less than common shares.
- B. have a claim on net assets upon liquidation of the company.
- C. receive any past unpaid dividends prior to dividends being paid to common shareholders.

Q49. Which of the following objectives of a client's IPS is best described as a relative risk objective? For the next year, a client's portfolio objective is to:

- A. have a 95% value at risk that is less than \$100,000.
- B. outperform the local stock market index by 100 basis points.
- C. earn a return within plus or minus 2 percentage points of the local stock market index return.

Q50. In addition to investing in core real estate, a real estate private equity fund following a core-plus strategy most likely invests in properties with:

- A. slightly less leasing risk than a core strategy.
- B. the same level of leasing risk as a core strategy.
- C. slightly more leasing risk than a core strategy.

A correlation matrix of the returns for securities A, B, and C is reported below:

Security	A	B	C
A	1	---	---
B	0.5	1	---
C	0	-0.5	1

Q51. Assuming that the expected return and the standard deviation of each security are the same, a portfolio consisting of an equal allocation of which two securities will be most effective for portfolio diversification?

- A. Securities A and B
- B. Securities A and C
- C. Securities B and C

Q52. An investor purchases common shares at €22 per share on margin and deposits just enough money to cover the 60% initial margin requirement. If the maintenance margin requirement is 25%, the share price below which the investor will first receive a margin call is closest to:

- A. €11.73.
- B. €16.50.
- C. €17.60.

Q53. A key distinction between commercial mortgage-backed securities (CMBSs) and residential mortgage-backed securities (RMBSs) is that CMBSs most likely:

- A. have balloon maturities.
- B. have amortizing principal.
- C. do not have call protection.

Q54. Expected future benefits to be received from a common share are most likely an important input for a(n):

- A. multiplier model.
- B. asset-based model.
- C. present value model.

Q55. Which of the following is used by clearinghouses to determine the daily gain and loss to the parties of a futures contract?

- A. Mark to market

- B. Maintenance margin
- C. Limit up and limit down

Q56. At expiration, an option that is in the money will most likely have:

- A. time value, but no exercise value.
- B. exercise value, but no time value.
- C. both time value and exercise value.

Q57. Compared to investing in a single security, the portfolio approach can improve investors' risk-return trade-off by offering:

- A. lower expected return with the same overall volatility of returns.
- B. the same expected return with lower overall volatility of returns.
- C. higher overall volatility of returns for a given level of expected return.

Q58. When buying a stock, a limit order is more likely to be:

- A. executed faster than a market order.
- B. completely filled than a market order.
- C. executed at lower prices than a market order.

Q59. Which of the following is most likely associated with secondary capital markets?

- A. Book building
- B. Continuous trading
- C. Lead underwriters

Q60. Price multiples allow for:

- A. time series comparisons only.
- B. cross-sectional comparisons only.
- C. both time series and cross-sectional comparisons.

Q61. With respect to the absolute priority of claims in bankruptcy, which of the following most likely has the highest seniority ranking?

- A. Third lien debt
- B. Subordinated debt
- C. Senior unsecured debt

Q62. For portfolios composed of the risk-free asset and a risky asset, the expected return as a function of standard deviation of returns is graphically represented by the:

- A. security market line.
- B. capital allocation line.
- C. Markowitz efficient frontier.

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An analyst gathers the following information about a company (in \$ thousands):

	Year 1	Year 2
Operating income	255	234
Depreciation and amortization	432	677
Interest expense	170	156

Q63. Based on the interest coverage ratio using EBITDA, the company's creditworthiness has:

- A. deteriorated.
- B. remained unchanged.
- C. improved.

Q64. Which of the following is most likely used by private equity funds?

- A. Leveraged buyouts
- B. Merger arbitrage strategies
- C. Convertible bond arbitrage strategies

Q65. The minimum rate of return required by investors to purchase an equity security is most likely approximated by the company's:

- A. cost of equity.
- B. return on equity.
- C. weighted average cost of capital.

Q66. Which of the following is most likely a means of executing a differentiation competitive strategy?

- A. Trademarks
- B. Economies of scope
- C. Geographical proximity to its customers

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An analyst gathers the following information about a two-asset portfolio and a third asset that is not part of the current portfolio:

Portfolio standard deviation of returns	20%
Asset's standard deviation of returns	20%
Correlation of returns between the asset and the portfolio	0.5

Q67. If the asset is added to the portfolio, the portfolio standard deviation will most likely:

- A. decrease.
- B. remain the same.
- C. increase.

Q68. The first date a buyer of shares is not entitled to an announced dividend is the:

- A. declaration date.
- B. ex-dividend date.
- C. holder-of-record date.

Q69. To obtain the spot yield curve, a bond analyst would most likely use the most:

- A. seasoned and actively traded government bonds.
- B. recently issued and actively traded corporate bonds.
- C. recently issued and actively traded government bonds.

Q70. Which of the following is considered an economic infrastructure asset?

- A. Health care assets
- B. Educational assets
- C. Information and communication technology assets

Q71. When defining an asset class for the purpose of asset allocation, an investor should ensure that assets in the class are relatively:

- A. homogeneous and have low paired correlations with other asset classes.
- B. homogeneous and have high paired correlations with other asset classes.
- C. heterogeneous and have low paired correlations with other asset classes.

Q72. Given two otherwise identical bonds, when interest rates rise, the price of Bond A declines more than the price of Bond B. Compared with Bond B, Bond A most likely:

- A. is callable.
- B. has a lower coupon.
- C. has a shorter maturity.

Q73. The convexity of puttable bonds is:

- A. always positive.
- B. negative for a decrease in yield.
- C. negative for an increase in yield.

Q74. A 90-day commercial paper issue is quoted at a discount rate of 4.75% for a 360-day year. The bond equivalent yield for this instrument is closest to:

- A. 4.75%.
- B. 4.81%.
- C. 4.87%.

Q75. When securitizing a corporation's loans, a special purpose entity most likely:

- A. services the corporation's loans.
- B. sells the collateral underlying the corporation's loans.
- C. purchases the corporation's loans to use as collateral.

Q76. The sensitivity of a puttable bond to a flattening of the yield curve is best measured by:

- A. key rate duration.
- B. effective duration.
- C. modified duration.

Q77. A consequence of preventing the exploitation of private information is that the market is not:

- A. weak-form efficient.
- B. semi-strong efficient.
- C. strong-form efficient.

Q78. Two investors have utility functions that differ only with regard to the coefficient of risk aversion. Relative to the investor with a higher coefficient of risk aversion, the optimal portfolio for the investor with a lower coefficient of risk aversion will most likely have:

- A. a lower level of risk and return.
- B. the same level of risk and return.
- C. a higher level of risk and return.

Q79. A bond has a modified duration of 7.5 years and an annual convexity of 280. If yields decrease by 60 basis points, the percentage price change is closest to:

- A. 4.00%.
- B. 5.00%.
- C. 5.51%.

Q80. In the binomial model, if the probability of a downward movement in an underlying increases, the value of a call option:

- A. decreases.
- B. remains unchanged.
- C. increases.

Q81. Returns adjusted for the total risk of a portfolio relative to a benchmark are most appropriately measured using which of the following?

- A. M?
- B. Treynor ratio
- C. Jensen's alpha

Q82. The value of a forward contract at initiation is most likely:

- A. less than zero.
- B. equal to zero.
- C. greater than zero.

Q83. Over a given holding period, performance of credit-risky bonds will most likely benefit from:

- A. periods of high demand.
- B. widening credit spreads.
- C. weakening economic conditions.

Q84. Which of the following US sovereign securities is a pure discount bond?

- A. Treasury bill
- B. Treasury note
- C. Treasury bond

Q85. The Gordon growth model is most appropriate for valuing the common stock of a dividend paying company that is:

- A. young and just entering the growth phase.
- B. mature and relatively insensitive to economic fluctuations.

C. experiencing growth that is higher than the sustainable growth rate.

Q86. Bonds issued in which of the following markets most likely have fewer reporting, regulatory, and tax constraints?

- A. Eurobond markets
- B. Foreign bond markets
- C. Domestic bond markets

Q87. The value of a call option is inversely related to the:

- A. risk-free rate.
- B. exercise price.
- C. value of the underlying.

Q88. When the investment horizon is less than the Macaulay duration of a bond:

- A. coupon reinvestment risk offsets market price risk.
- B. market price risk is greater than coupon reinvestment risk.
- C. coupon reinvestment risk is greater than market price risk.

Q89. If a hedge fund imposes a gate, it is temporarily limiting the:

- A. redemptions from the fund.
- B. inflow of money into the fund.
- C. amount of leverage in the fund.

Q90. Financial instruments trade for delivery in:

- A. spot markets only.
- B. forward markets only.
- C. both spot and forward markets.